Bernanke, I am sure, must have been surprised by the panic set off by his advance warning of ‘the taper’ in May 2013, and Xiaochuan, governor of the People’s Bank of China, must have been surprised by the sense of shock in the global financial markets when China adjusted the exchange rate peg of the yuan in August 2015, ostensibly as a prelude to making the exchange rate more market determined.

Is it presumptuous then on the part of central banks to believe that they can accurately judge market psychology? An analogy from physics comes to mind. We all know that the two great theories of twentieth century physics—Relativity and Quantum Mechanics—are inconsistent with each other. All through his life, Albert Einstein could not reconcile to the probabilistic nature of the universe implied by the quantum theory and famously declared: ‘God does not play dice.’ To this, his friend and pioneering quantum physicist Neils Bohr replied, ‘Albert, stop telling God what he can or cannot do.’ Similarly, central bankers can hardly presume to tell markets how to behave no matter the intentions behind their policy moves. If the crisis has taught us anything, it is that central banks have to be more humble about their ability to predict market behaviour.

Challenges in Exchange Rate Management

Let me now turn to some challenges we confronted in exchange rate management during this period. By far the most formidable challenge was to manage expectations. Fears were stoked by a number of factors. Some commentators, for example, wondered whether India was once again heading into a twin deficit problem—a combination of a large fiscal deficit with a large current-account deficit that can derail growth, fuel inflation and threaten macroeconomic stability. The origins for this apprehension trace back to our balance of payments crisis of 1991 which, it is now widely agreed, was a direct consequence of the fiscal profligacy—the government borrowing way beyond its means—of the 1980s. We were once again experiencing a potent mix of twin deficits, in 2012. Might we be setting ourselves up for another balance of payments implosion?